

Vanbarton's \$352M Refi Shows Office Debt Is Available When the Basis Is Defensible

Goldman Sachs and BlackRock back a 99% occupied tower, proving liquidity follows occupancy and sponsor credibility.

Inside the \$352 million financing

\$352 million

Debt / financing

\$290 million

Debt / financing

\$30 million

Debt / financing

It is the occupancy rate: 99.1 percent

The most important number in Vanbarton Group's \$352 million refinancing of 425 Lexington Avenue is not the loan amount. It is the occupancy rate: 99.1 percent. Goldman Sachs originated the floating-rate, interest-only loan, which was pre-placed entirely with BlackRock as a single-property CMBS deal.

The transaction matters because it shows

The debt retires a \$290 million loan from New York Life and Northwestern Mutual, funds \$30 million in reserves, covers closing costs, and returns roughly \$21 million to the ownership. A JLL debt advisory team led by Chris Peck represented Vanbarton. The transaction matters because it shows that office debt liquidity has returned only in narrow lanes: stabilized assets, credible sponsors, and pricing that lets lenders underwrite downside before upside.

Vanbarton acquired the 31-story, 747,000-square-foot Class A tower next to Grand Central

This is not a broad reopening of the office lending market. It is a precise allocation of capital to a building that has already solved the occupancy problem. Vanbarton acquired the 31-story, 747,000-square-foot Class A tower next to Grand Central Terminal for \$701 million in 2018. The anchor tenant, law firm Simpson Thacher & Bartlett, occupies about 95 percent of the building. That single-tenant concentration is usually a risk.

Vanbarton is not locking in long-term fixed-rate debt at today's elevated base rates

In this market, it is a feature. A lender can underwrite the cash flow because the tenant is not leaving. The floating-rate structure with a two-year initial term and three one-year extension options tells its own story. Vanbarton is not locking in long-term fixed-rate debt at today's elevated base rates. It is buying optionality. The extensions give the sponsor time to wait for a lower rate environment or a sale window.

The \$21 million returned to equity is not a dividend

The reserves provide a cushion against capital expenditure needs or tenant improvement requirements. The \$21 million returned to equity is not a dividend. It is a partial basis unwind. Goldman Sachs and BlackRock are not making a macro bet on Manhattan office. They are making a micro bet on this asset, this sponsor, and this income stream.

The refinancing adds to a growing list of large office debt deals in Manhattan

The CMBS structure allows BlackRock to hold a single-asset bond with a known cash flow profile. The floating rate passes interest rate risk to the borrower, which is acceptable when the borrower has a 99 percent occupied building and a basis that has already been tested. The refinancing adds to a growing list of large office debt deals in Manhattan, but the list is not long.

Lenders continue to back well-leased, high-quality buildings near transportation hubs

Lenders continue to back well-leased, high-quality buildings near transportation hubs. That is not a trend. It is a constraint. The Midtown office market has absorbed 22.8 million square feet in the first half of 2026, the strongest first half since 2002, according to Colliers. Average asking rents have risen to \$78.03 per square foot. Availability has fallen to 13.2 percent. Those numbers support the thesis that the best buildings are winning.

Every sponsor without a credible balance sheet

Who benefits? Vanbarton gets time, liquidity, and a partial return of equity. BlackRock gets a floating-rate bond with a short duration and a known cash flow. Goldman Sachs earns origination fees and distributes the risk. Simpson Thacher gets a landlord with financial flexibility. Who is exposed? Every office owner without 99 percent occupancy. Every sponsor without a credible balance sheet. Every building that is not next to Grand Central.

The market is not rewarding optimism

The market is not rewarding optimism. It is rewarding structure. The next phase of the office lending market will not be defined by who owns the best story. It will be defined by who controls the most defensible cash flow. Vanbarton just proved that point with \$352 million of other people's money.

Why it matters

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LIGHT TOWER GROUP
